

PUBLIC UTILITY COMMISSION OF TEXAS
AEP TEXAS INC
GENERAL EMPLOYEE BENEFIT INFORMATION
TEST YEAR ENDING 12/31/2018

1. Please refer to EXHIBITS CDC-1a and CDC-1b sponsored by witness, Curt D. Cooper for descriptions of employee benefits paid for in part or in total by AEP Texas, the classification of employees eligible for the benefit, and an explanation of the plan's method of funding.
2. Please refer to Schedule II-D-3-7-2 Attachments 1, 1a-1c for claims paid by month during the test year for the AEP Texas functions for those benefit plans that are primarily self-insured. The payments shown represent AEP Texas' active and retired employees' claims paid from the AEP Voluntary Employees' Beneficiary Association (VEBA) medical/dental and LTD trusts. The payments do not represent the costs of the medical, dental, or LTD plans recorded on AEP Texas' books since these costs are determined by AEP Texas' contributions to the trust funds. Schedules 1a, 1b and 1c further delineate the claims between North and Central Divisions.
3. Please refer to Schedule II-D-3-7-3 Attachments 1-3 for premium payments to third-party insurance carriers by month during the test year for the AEP Texas functions. The insurance premiums shown were paid from their respective insurance VEBA trusts that are funded by contributions from the Company. The premium payments do not represent the Company's costs recorded on AEP Texas' books since the costs of these benefits are shared by the Company and its employees/retirees.

Please refer to the documents in Schedules II-D-3-10-2 that include the monthly per employee rates.

4. The company adds 100% to participating employees' retirement savings plan (401k) account for every dollar they contribute up to the first 1% and 70% for every dollar they contribute up to the next 5% each pay period.

Please refer to Schedule II-D-3-7-4 for AEP Texas' employer matching contributions during the test year.

5. Please refer to Schedule II-D-2, line 8 for the requested employee benefits expense.
6. Applicable retiree costs are delineated within the provided Schedules and Attachments.